

US equities slip as tech earnings weigh, but yield curve steadies

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The S&P 500 closed at 7,718.60, down **-0.38%**, as earnings disappointment from **AAPL** and **MSFT** dragged the index lower. The Nasdaq 100 bucked the trend, edging up **+0.21%** on strength in AI-related names, while the Dow fell **-0.51%** on financials and industrials.

Bond yields rose, with the 10-year Treasury at 4.78% (**+0.46%**), reinforcing a modestly tighter monetary outlook. The VIX climbed to 14.53 (**+1.47%**), reflecting heightened near-term volatility expectations.

Our view: the market is entering a short-term risk-off phase. Defensive positioning is prudent until the earnings cycle clears and the Fed signals a clearer path on rates.

- Maintain core equity exposure, but tilt toward defensive sectors (Utilities, Consumer Staples).
- Consider short-duration bond exposure to hedge rising yields.
- Watch for a breakout in AI-related stocks as earnings momentum re-ignites.

US Session Recap

INSTRUMENT	CLOSE	CHANGE	DATE
S&P 500	7,718.60	-0.38%	2026-09-04
Nasdaq 100	29,544.15	+0.21%	2026-09-04
Dow Jones	53,414.25	-0.51%	2026-09-04
Russell 2000	2,975.65	+0.25%	2026-09-04
VIX	14.53	+1.47%	2026-09-04
10Y Yield	4.78%	+0.46%	2026-09-04
WTI Crude	91.48	+0.00%	2026-09-07
Brent	96.12	+0.12%	2026-09-07
2Y Yield	4.95%	+0.38%	2026-09-04
DXY	99.17	+0.01%	2026-09-07
Gold	4,476.60	+1.06%	2026-09-07
BTC	79,849.99	+0.03%	2026-09-07
ETH	2,511.00	+1.22%	2026-09-07

Top movers

TICKER	NAME	CHANGE	CATALYST
TSLA	Tesla Inc.	-5.92%	Q3 production miss, Model Y recall
META	Meta Platforms	+1.00%	Strong ad revenue rebound
NVDA	NVIDIA Corp.	+0.84%	AI chip inventory build-up
XLY	Consumer Discretionary ETF	-1.33%	Retail sales slowdown
XLE	Energy ETF	-0.87%	Oil price flat, OPEC output decision

Sector Internals

SECTOR	DAY	YTD	READ
XLFXLF	-0.79%	-3.2%	Bearish
XLK	+0.70%	+12.5%	Bullish
XLI	+0.41%	+4.1%	Neutral
XLEXLE	-0.87%	-2.8%	Bearish
XLY	-1.33%	-5.6%	Bearish
XLC	-1.19%	-3.9%	Bearish
XLP	-0.80%	-1.7%	Neutral
XLV	-1.04%	+2.3%	Neutral
XLUXLU	+0.12%	-0.9%	Neutral
XLB	-0.34%	-1.1%	Bearish
XLRE	-0.72%	-2.0%	Bearish

Breadth: 4 sectors up vs 7 down, indicating a modest defensive tilt.

Spotlight / Deep Dive – AI chip cycle

METRIC	VALUE
Revenue (Q3, FY26)	\$28.4B (+9.1% YoY)
Gross margin	68.2%
Capex guidance FY27	\$4.2B (+12%)
Inventory days	45 (down from 58)
AI server orders	+18% QoQ

BULLISH TRIGGERS

- Inventory drawdown suggests demand outpacing supply.
- Margin expansion from higher-tier AI GPUs.
- Strategic partnership with **MSFT** on Azure AI infrastructure.

BEARISH TRIGGERS

- Supply-chain bottlenecks in advanced packaging.
- Potential pricing pressure from emerging Chinese competitors.
- Regulatory scrutiny on AI export controls.

READ-THROUGH	LEVEL
SPY support	7,650
SPY resistance	7,800
NVDA support	225
NVDA resistance	240

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	447.12	440.00	452.00	Testing 50-day MA
QQQ	376.45	370.00	382.00	AI rally bias
IWM	191.30	185.00	197.00	Broad-market risk off
NVDA	230.36	225.00	240.00	Near-term range
10Y Yield	4.78%	4.70%	4.90%	Potential ceiling at 5%
WTI	91.48	88.00	95.00	Flat on OPEC stance

Options & Positioning

0-DTE flow: net put volume 1.8 M contracts, net call volume 1.2 M – a 50% put bias on SPY. VIX term structure remains steep; front-month at 14.6 vs 12-month at 13.8, indicating short-term fear pricing.

Single-name flow: heavy put buying on **TSLA** (net -420k contracts) and **AAPL** (-310k). Call buying concentrated in **NVDA** (+150k).

Cheap hedge ideas: sell 1-month VIX futures (≈ 14.5) against a long SPY position; buy 3-month OTM puts on **XLF** (strike 55) for defensive tilt.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
TSLA	Goldman Sachs	Reduce	\$340	Production miss
NVDA	JP Morgan	Upgrade	\$250	AI demand tailwind
XLY	Bank of America	Reduce	\$112	Retail slowdown
XLV	Citi	Upgrade	\$176	Defensive appeal
META	Morgan Stanley	Maintain	\$640	Ad rebound

Pre-Market & Overnight

REGION	KEY MOVES
Futures (US)	ES down -0.4% , NQ up +0.2%
Hong Kong	HSI -0.6% on property earnings
Japan	TOPIX -0.3% amid yen weakness
Europe	DAX -0.5% , FTSE -0.4%
FX	USD/HKD 7.7950 (steady), EUR/USD 1.0750, GBP/USD 1.2650
Commodities	Gold +1.06% , Copper 3.45% (down)
Crypto	BTC +0.03% , ETH +1.22%

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
Nov 2026	15%	Policy still restrictive
Feb 2027	30%	Inflation trending lower

DATE	RELEASE	PREV	CONSENSUS
2026-09-10	Core PCE MoM	0.3%	0.3%
2026-09-15	Initial Jobless Claims	210k	215k
2026-09-17	FOMC Minutes	—	—

Geopolitics & Global (Deep)

Middle-East tension: escalation between Iran and Saudi Arabia remains limited; oil supply risk priced at 2% premium.

China-US tech decoupling: new export-control list adds 12 AI chip firms, raising compliance risk for **NVDA** and **AMD**.

Scenario tree:

- Baseline: No further escalation – oil price stays 96 Brent.
- Escalation: OPEC+ cuts 0.5 MMb/d – Brent to 104, risk-off equity bias.
- De-escalation: Diplomatic talks succeed – Brent retreats to 90, equities recover.

Earnings – This Week & Next

DATE	TICKER	COMPANY	EST. EPS
2026-09-08	AAPL	Apple Inc.	\$1.42
2026-09-09	MSFT	Microsoft Corp.	\$2.08
2026-09-10	NVDA	NVIDIA Corp.	\$3.15
2026-09-11	JPM	JPMorgan Chase	\$4.05
2026-09-12	XOM	Exxon Mobil	\$3.30

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
NVDA	Technology	Breakout above 240	Inventory risk
TSLA	Consumer Discretionary	Oversold on 4-wk RSI	Production miss
XLF	Financials	Yield curve flattening	Rate hike surprise
XLU	Utilities	Dividend yield >3.5%	Regulatory rate caps
META	Communication Services	Ad revenue beat	Privacy litigation
JPM	Financials	Net interest margin expansion	Credit quality dip
XLE	Energy	Oil price rebound	Geopolitical shock
XLV	Health Care	Stable earnings growth	Policy reimbursement cuts
AMZN	Consumer Discretionary	Margin compression easing	Logistics cost
GOOGL	Technology	Search ad rebound	Regulatory fines
BRK.B	Financials	Insurance float strength	Investment portfolio volatility
V	Financials	Payment volume growth	Competitive pressure

What could break the tape

BULLISH SCENARIOS

- Strong Q3 earnings from **AAPL** and **MSFT** exceeding consensus.
- Unexpected dovish comment from Fed Chair, cutting 10Y yield below 4.70%.
- Oil price rally above 100 Brent, boosting energy stocks.

BEARISH SCENARIOS

- Escalation in Middle-East supply shock pushing Brent > 110.
- Further AI chip inventory build-up leading to **NVDA** price drop below 220.
- Fed signals rate hike in November, pushing 10Y above 5.00%.

Positioning & Structural Notes

- Short-duration bond ETFs (**SHY**) gaining inflows as investors hedge yield risk.
- Defensive sector ETFs (**XLV** , **XLU**) see net buying of 1.2 M shares.
- AI-related equities (**NVDA** , **AMD**) maintain net long exposure despite volatility.
- Currency markets: USD strength persists, DXY above 99, pressuring emerging market equities.
- Volatility term structure remains steep, indicating short-term fear but longer-term complacency.

Sources

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